(a) Peg, spending: income to 95
G +4
IS
IS′
LM
LM′
i = i^f
90
95
(b) Float, spending: income stays 90
G +4
IS
IS′
appreciation,
e = 0.89
LM
90
(c) Float, money: income to 110
M +4
IS
depreciation
e = 1.44
LM
IS′
LM′
90
110
(d) Peg, money: income stays 90
M +4
IS
reserves fall by 4
LM
LM′
90
interest rate i (%)
0
1
2
3
4
80
90
100
110
income Y